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Illustration 15 (One-sided errors and two-sided errors with preparation of suspense account)

A book-keeper finds that the debit column of the trial balance is short by ` 308 and the difference is put to a suspense account. Subsequently, the following errors were located.

(a) An entry for sale of goods on credit for ` 102 to Mekala was posted to her account as ` 120.

(b) ` 100 being the monthly total of discount allowed to customers was credited to discount received account in the ledger.

(c) ` 275 paid by Mannan was credited to Kannan account.

(d) ` 26 appearing in the cash book as paid for the purchase of stationery for office use has not been posted to ledger.

(e) The purchases book was undercast by ` 100.

Rectify the errors and prepare supense account.

Solution

	Particulars		L.F.	Dr. `	Cr. `
a	Suspense A/c	Dr.		18	
	To Mekala A/c				18
	(Excess amount posted to Mekala account rectified)				
b	Discount allowed A/c	Dr.		100	
	Discount received A/c	Dr.		100	
	To Suspense A/c				200
	(Discount allowed wrongly posted to discount received account rectified)				
c	Kannan A/c	Dr.		275	
	To Mannan A/c				275
	(Wrong credit to Kannan account instead of Mannan account rectified)				
d	Stationery A/c	Dr.		26	
	To Suspense A/c				26
	(Purchase of stationery not posted to stationery account rectified)				
e	Purchases A/c	Dr.		100	
	To Suspense A/c				100
	(Undercasting in the purchases book rectified)				